

Chapter - 8

Accrual Accounting

BUSA1113 - Fundamentals of Accounting

Contents

Sr. No	Course Outline Topics
1	Basic Concepts of Accruals based Accounting
2	Technique for calculating expense for the year
3	Technique for calculating income for the year
4	One and two account method approach - Expense in arrear
5	One and two account method approach - Expense in advance
6	Diagrammatic understanding of Accruals and Prepayments
7	Adjusting and Closing entries

Accrual Accounting

Basic Concept of Accrual Based Accounting

Cash Basis of Accounting

Two bases to present financial performance of an entity:

- 1) Cash basis and
- 2) Accrual basis

Conventionally, small business entities prepare financial statements on "*Cash Basis*"

- Very easy to handle
- Less costly
- No complex accounting system is required to be developed and implemented

Accrual Basis of Accounting

Entities of considerable size follow "Accrual Basis"

- Little complex
- More cost and efforts are required to report financial performance
- It establishes control over trade receivables and payables through a designed system

Examples – Accrual based accounting

Example – 1

Electricity bill for the last quarter (October – December) was not paid until the end of reporting period 31st December 20X9.

Under the cash-based accounting; the unpaid utility bill will not be recognized as expense in the accounting year 20X9. It will be recognized as expense for the year 20Y0 upon payment.

Under the accrual-based accounting; the unpaid utility expense will be recognized as expense in the accounting year 20X9 along with a liability that will be paid in 20Y0.

Example – 2

Insurance paid in advance for the year 20X9 on 1st November 20X8

Under the cash-based accounting; the payment will be recorded as expense as soon as cash is paid to insurance company on 1st November 20X8

Under the accrual-based accounting; the payment of insurance will be recorded in the year 20X8 as "prepayment or paid in advance" which shall be recognized as asset and then in the year 20X9 it will be recorded as expense, to which it belongs to.

Important Tips To Remember - ITTR

1. Accrual concept gives basis to measure incomes and expenses for an accounting period
2. Accrued concept cover
 - a. Accrued income
 - b. Unearned income
 - c. Accrued expense
 - d. Unexpired expense

Accrual Accounting

Technique/Formula for calculating expense for the year

Technique/Formula for Expenses

Expenses with closing balances of: accrued expense due and advance payment / prepayment

Expenses paid in cash	Cash Book
Add Closing accrued/due	Liability
Less Closing advance/prepayment	Asset
Expenses for the year	Income Statement

Expenses with opening and closing balances of: accrued expense due and advance payment / prepayment

Expenses paid in cash	Cash Book
Add Closing accrued/due	Liability
Less Opening accrued/due	Previous Liability
Less Closing advance/prepayment	Asset
Add Opening advance/prepayment	Previous Asset
Expenses for the year	Income Statement

Practice 8.1

Cash paid for rent expense during the year Rs.7,000, opening balance of expense due was Rs.250 and opening balance of prepaid expenses was Rs.400, on closing date expense still due is Rs.300 and prepaid expense is Rs.700

Prepare:

1. Rent Expense a/c
2. Accrued expense a/c
3. Prepaid expense a/c

Answer – Practice 8.1

Expense account			
Particular	Debit Rs.	Particulars	Credit Rs.
Op. Advance	400	Op. Owing	250
Cash Paid	7,000	Cl. Advance	700
Cl. Owing	300	Profit & Loss (balancing figure)	6,750
	<u>7,700</u>		<u>7,700</u>

Accrued (Due) Expenses account			
Particular	Rs.	Particulars	Rs.
Op Bal transferred to Exp. A/c	250	Balance b/f	250
Balance c/f	300	Cl owing charged to Exp. a/c	300
	<u>550</u>		<u>550</u>

Prepaid (Advance) Expenses account			
Particular	Rs.	Particulars	Rs.
Balance b/f	400	Op Balance Charged to Exp. a/c	400
Cl Adv transferred from Exp. a/c	700	Balance c/f	700
	<u>1,100</u>		<u>1,100</u>

Important Tips To Remember - ITTR

1. Cash paid during the year is different from Expense for the year
2. Expense is measured based on its belongingness to the reporting period
3. + Closing Due – Opening Due
4. + Opening prepaid – Closing prepaid

Accrual Accounting

Technique/Formula for calculating Income for the year

Technique/Formula for Incomes

Incomes with closing balances of: accrued income due and advance received / unearned

Income received in cash	Cash Book
Add Closing accrued/due	Asset
Less Closing advance/unearned	Liability
Incomes for the year	Income Statement

Incomes with opening and closing balances of: accrued income due and advance received / unearned

Income received in cash	Cash Book
Add Closing accrued/due	Asset
Less Opening accrued/due	Previous Asset
Less Closing advance/unearned	Liability
Add Opening advance/unearned	Previous Liability
Income for the year	Income Statement

Practice 8.2

Rent Income received during the year Rs.3,000, opening balance of income due was Rs.150 and opening balance of unearned income was Rs.500, on closing date income still due is Rs.70 and unearned income on closing date is Rs.50.

Prepare:

1. Rent Income a/c
2. Accrued income a/c
3. Unearned income a/c

Answer – Practice 8.2

Income Account			
Particular	Debit Rs.	Particulars	Credit Rs.
Opening Owing	150	Opening Advance	500
Closing Advance	50	Cash Received	3,000
Profit & Loss (balancing figure)	3,370	Closing Owing	70
	3,570		3,570

Accrued (Due) Income Account			
Particular	Rs.	Particulars	Rs.
Balance b/f	150	Op Bal transferred to Income a/c	150
(Cl Bal transferred from Income a/c)	70	Balance c/f	70
	220		220

Unearned (Advance) Income Account			
Particular	Rs.	Particulars	Rs.
Op Bal transferred to Income A/c	500	Balance b/f	500
Balance c/f	50	(Cl Bal transferred from Income a/c)	50
	550		550

Important Tips To Remember - ITTR

1. Cash received during the year for an income is different from Income for the year
2. Income is measured based on its belongingness to the reporting period
3. + Closing Due – Opening Due
4. + Opening prepaid – Closing prepaid

Accrual Accounting

Accrued Expense
Outstanding Expense
Expense in Arrear
Expense Due
Expense Owing
Expense Not Yet Paid
Expense Payable

One Account Method for Expenses

Only one ledger account is prepared for measuring expense and for its reciprocal payable

Practice 8.3

Rent is paid quarterly **in arrear**
Reporting Period is 12 months (**Jan 1, 20X8 to Dec 31, 20X8**)

Payment Date	Payment Period	Amount (Rs.)
Jan 31, 20X8	Nov X7, Dec X7, Jan X8	9,000
Apr 30, 20X8	Feb X8, March X8, Apr X8	9,500
July 31, 20X8	May X8, June X8, July X8	10,000
Oct 31, 20X8	Aug X8, Sep X8, Oct X8	10,000
Jan 31, 20X9	Nov X8, Dec X8, Jan X9	10,500

Answer - Practice 8.3

Cash paid during the year	(W-3) – 1st Jan X8 to 31st Dec X8	Rs. 38,500
Less: Opening Accrual	(W-1) – Nov X7 and Dec X7	(6,000)
Add: Closing Accruals	(W-2) – Nov X8 and Dec X8	7,000
Expense for the year		<u>39,500</u>

W-1: Opening Accruals = $9,000 \times \frac{2}{3} = 6,000$

W-2: Closing Accruals = $10,500 \times \frac{2}{3} = 7,000$

W-3: Cash paid = $9,000 + 9,500 + 10,000 + 10,000 = 38,500$

Answer - Practice 8.3

One Account Method:

Rent Payable A/c.			
	Rs.		Rs.
Cash paid	38,500	Opening rent payable balance b/f	6,000
Closing rent payable balance c/f	7,000	Profit & Loss (balancing figure)	39,500
	<u>45,500</u>		<u>45,500</u>

Accounting Entries		
Particulars	Debit Rs.	Credit Rs.
Rent Payable A/c.	38,500	
Cash A/c.		38,500
(Rent paid in cash)		
Profit & Loss A/c.	39,500	
Rent Payable A/c.		39,500
(Closing entry for rent expense – Closed into Income Statement)		

Two Account Method for Expenses

Two ledger accounts are prepared for measuring expense and for its reciprocal payable

Practice 8.3 cont.

Rent is paid quarterly **in arrear**
Reporting Period is 12 months (Jan 1, 20X8 to Dec 31, 20X8)

Payment Date	Payment Period	Amount (Rs.)
Jan 31, 20X8	Nov X7, Dec X7, Jan X8	9,000
Apr 30, 20X8	Feb X8, March X8, Apr X8	9,500
July 31, 20X8	May X8, June X8, July X8	10,000
Oct 31, 20X8	Aug X8, Sep X8, Oct X8	10,000
Jan 31, 20X9	Nov X8, Dec X8, Jan X9	10,500

Answer - Practice 8.3 cont.

Cash paid during the year	(W-3) – 1st Jan X8 to 31st Dec X8	Rs. 38,500
Less: Opening Accrual	(W-1) – Nov X7 and Dec X7	(6,000)
Add: Closing Accruals	(W-2) – Nov X8 and Dec X8	7,000
Expense for the year		<u>39,500</u>

$$\text{W-1: Opening Accruals} = 9,000 \times \frac{2}{3} = 6,000$$

$$\text{W-2: Closing Accruals} = 10,500 \times \frac{2}{3} = 7,000$$

$$\text{W-3: Cash paid} = 9,000 + 9,500 + 10,000 + 10,000 = 38,500$$

Answer - Practice 8.3 cont.

Two Account Method

Rent Payable A/c.			
	Rs.		Rs.
Rent expense	6,000	Opening rent payable balance b/f	6,000
Closing rent payable balance c/f	7,000	Rent expense	7,000
	<u>13,000</u>		<u>13,000</u>

Rent Expense A/c.			
	Rs.		Rs.
Cash paid	38,500	Rent Payable (Opening balance)	6,000
Rent Payable (Closing balance)	7,000	Profit & Loss (balancing figure)	39,500
	<u>45,500</u>		<u>45,500</u>

Answer - Practice 8.3 cont.

Accounting Entries

Particulars	Debit Rs.	Credit Rs.
Rent Expense A/c.	38,500	
Cash A/c.		38,500
(Rent paid in cash)		
Rent Payable A/c.	6,000	
Rent Expense A/c.		6,000
(Opening balance rent due transferred)		
Rent expense A/c.	7,000	
Rent Payable A/c.		7,000
(Rent of current year is still due.)		
Profit & Loss A/c.	39,500	
Rent Expense A/c.		39,500
(Closing entry for rent expense – Closed into Income Statement)		

Important Tips To Remember - ITTR

One Account Method

1. Separate ledger account for expense is not maintained
2. Balancing figure is closed to Income Statement
3. Closing balance is presented in Balance Sheet

Important Tips To Remember - ITTR

Two Account Method

1. Opening balance b/f and Closing balance c/f appears in payable account
2. Expense account is closed into Income Statement

Accrual Accounting

Advance Expense
Prepaid Expense
Unexpired Expense

One Account Method for Expenses

Only one ledger account is prepared for measuring expense and for its reciprocal asset

Practice 8.4

Rent is paid quarterly **in advance**
Reporting Period is 12 months (**Jan 1, 20X9 to Dec 31, 20X9**)

Payment Date	Payment Period	Amount (Rs.)
Nov. 1, 20X8	Nov X8, Dec X8, Jan X9	9,000
Feb. 1, 20X9	Feb X9, Mar X9, Apr X9	9,500
May 1, 20X9	May X9, June X9, Jul X9	10,000
Aug. 1, 20X9	Aug X9, Sep X9, Oct X9	10,000
Nov. 1, 20X9	Nov X9, Dec X9, Jan Y0	10,500

Answer - Practice 8.4 cont.

Cash paid during the year	(W-3) – 1st Jan 20X9 to 31st Dec 20X9	Rs. 40,000
Add: Opening Advance	(W-1) – Jan 20X9	3,000
Less: Closing Advance	(W-2) – Jan 20X0	<u>(3,500)</u>
Expense for the year		<u>39,500</u>

W-1:	Opening Advance	=	$9,000 \times \frac{1}{3} = 3,000$
W-2:	Closing Advance	=	$10,500 \times \frac{1}{3} = 3,500$
W-3:	Cash paid	=	$9,500 + 10,000 + 10,000 + 10,500 = 40,000$

Answer - Practice 8.4 cont.

One Account Method:

	Prepaid (Advance) Rent A/c.	
	Rs.	Rs.
Opening prepaid rent balance b/f	3,000	Profit & Loss (balancing figure) 39,500
Cash paid	40,000	Closing prepaid rent balance c/f 3,500
	<u>43,000</u>	<u>43,000</u>

Particulars	Debit Rs.	Credit Rs.
Prepaid (Advance) Rent A/c.	40,000	
Cash A/c.		40,000
(Rent paid in cash)		
Profit & Loss A/c.		39,500
Prepaid (Advance) Rent A/c.	39,500	
(Closing entry for rent expense – Closed into Income Statement)		39,500

Important Tips To Remember - ITTR

1. Separate ledger account for expense is not maintained
2. Balancing figure is closed to Income Statement
3. Closing balance is presented in Balance Sheet

Two Account Method for Expenses

Two ledger accounts are prepared for measuring expense and for its reciprocal asset

Practice 8.4 cont.

Rent is paid quarterly **in advance**
Reporting Period is 12 months (Jan 1, 20X9 to Dec 31, 20X9)

Payment Date	Payment Period	Amount (Rs.)
Nov. 1, 20X8	Nov X8, Dec X8, Jan X9	9,000
Feb. 1, 20X9	Feb X9, Mar X9, Apr X9	9,500
May 1, 20X9	May X9, June X9, Jul X9	10,000
Aug. 1, 20X9	Aug X9, Sep X9, Oct X9	10,000
Nov. 1, 20X9	Nov X9, Dec X9, Jan Y0	10,500

Answer - Practice 8.4 cont.

		Rs.
Cash paid during the year	(W-3) – 1ST Jan 20X9 to 31st Dec 20X9	40,000
Add: Opening Advance	(W-1) – Jan 20X9	3,000
Less: Closing Advance	(W-2) – Jan 2010	<u>(3,500)</u>
Expense for the year		<u>39,500</u>

W-1:	Opening Advance	=	$9,000 \times \frac{1}{3} = 3,000$
W-2:	Closing Advance	=	$10,500 \times \frac{1}{3} = 3,500$
W-3:	Cash paid	=	$9,500 + 10,000 + 10,000 + 10,500 = 40,000$

Answer - Practice 8.4 cont.

Two Account Method

Advance Rent A/c.			
	Rs		Rs.
Balance b/f	3,000	Rent Expense	3,000
Rent Expense	<u>3,500</u>	Balance c/f	<u>3,500</u>
	<u>6,500</u>		<u>6,500</u>

Rent Expense A/c.			
	Rs		Rs.
Opening advance rent	3,000	Closing advance rent	3,500
Cash paid	<u>40,000</u>	Income statement	<u>39,500</u>
	<u>43,000</u>		<u>43,000</u>

Answer - Practice 8.4 cont.

Accounting Entries

Particulars	Debit Rs.	Credit Rs.
Rent Expense A/c.	40,000	
Cash A/c.		40,000
(Rent paid in cash.)		
Rent Expense A/c.	3,000	
Advance Rent A/c.		3,000
(Opening balance of advance rent transferred)		
Advance Rent A/c.	3,500	
Rent Expense A/c.		3,500
(Rent paid in advance transferred from rent Expense)		
Income Statement A/c.	39,500	
Rent Expense A/c.		39,500
(Closing entry for rent expense.)		

Important Tips To Remember - ITTR

1. Opening balance b/f and Closing balance c/f appears in prepaid account.
2. Expense account is closed into Income Statement

Accrual Accounting

Accrued Income
Outstanding Income
Income in Arrear
Income Due
Income Owing
Income Not Yet Received
Income Receivable

One Account Method for Income

Only one ledger account is prepared for measuring income and for its reciprocal receivable

Practice 8.5 cont.

Rent is received quarterly **in arrear**
Reporting Period is 12 months (**Jan 1, 20X8 to Dec 31, 20X8**)

Receipt Date	Receipt Period	Amount (Rs.)
Jan 31, 20X8	Nov X7, Dec X7, Jan X8	9,000
Apr 30, 20X8	Feb X8, March X8, Apr X8	9,500
July 31, 20X8	May X8, June X8, July X8	10,000
Oct 31, 20X8	Aug X8, Sep X8, Oct X8	10,000
Jan 31, 20X9	Nov X8, Dec X8, Jan X9	10,500

Answer - Practice 8.5 cont.

Cash received during the year	(W-3) - 1st Jan X8 to 31st Dec X8	Rs. 38,500
Less: Opening Accrual	(W-1) - Nov X7 and Dec X7	(6,000)
Add: Closing Accrual	(W-2) - Nov X8 and Dec X8	7,000
Income for the year		39,500

W-1: Opening Accruals = $9,000 \times \frac{2}{3} = 6,000$

W-2: Closing Accruals = $10,500 \times \frac{2}{3} = 7,000$

W-3: Cash paid = $9,000 + 9,500 + 10,000 + 10,000 = 38,500$

Answer - Practice 8.5 cont.

One Account Method:

Rent Receivable A/c.			
	Rs.		Rs.
Opening rent receivable balance b/f	6,000	Cash received	38,500
Profit & Loss (balancing figure)	39,500	Closing rent receivable balance c/f	7,000
	45,500		45,500

Accounting Entries		
Particulars	Debit Rs.	Credit Rs.
Cash A/c.	38,500	
Rent receivable A/c.		38,500
(Rent received in cash)		
Rent receivable A/c.	39,500	
Profit & Loss A/c.		39,500
(Closing entry for rent income - Closed into Income Statement)		

Two Account Method for Incomes

Two ledger accounts are prepared for measuring income and for its reciprocal receivable

Practice 8.5 cont.

Rent is received quarterly in **arrear**
Reporting Period is 12 months (**Jan 1, 20X8 to Dec 31, 20X8**)

Receipt Date	Receipt Period	Amount (Rs.)
Jan 31, 20X8	Nov X7, Dec X7, Jan X8	9,000
Apr 30, 20X8	Feb X8, March X8, Apr X8	9,500
July 31, 20X8	May X8, June X8, July X8	10,000
Oct 31, 20X8	Aug X8, Sep X8, Oct X8	10,000
Jan 31, 20X9	Nov X8, Dec X8, Jan X9	10,500

Answer - Practice 8.5 cont.

Cash received during the year	(W-3) - 1st Jan X8 to 31st Dec X8	Rs. 38,500
Less: Opening Accrual	(W-1) - Nov X7 and Dec X7	(6,000)
Add: Closing Accrual	(W-2) - Nov X8 and Dec X8	7,000
Income for the year		39,500

W-1:	Opening Accruals	=	$9,000 \times \frac{2}{3} = 6,000$
W-2:	Closing Accruals	=	$10,500 \times \frac{2}{3} = 7,000$
W-3:	Cash paid	=	$9,000 + 9,500 + 10,000 + 10,000 = 38,500$

Answer - Practice 8.5 cont.

Two Account Method

Rent Receivable A/c.			
	Rs.		Rs.
Opening rent receivable balance b/f	6,000	Rent income	6,000
Rent income	7,000	Closing rent receivable balance c/f	7,000
	<u>13,000</u>		<u>13,000</u>

Rent Income A/c.			
	Rs.		Rs.
Rent receivable opening	6,000	Cash received	38,500
Profit & Loss (balancing figure)	39,500	Rent receivable closing	39,500
	<u>45,500</u>		<u>45,500</u>

Answer - Practice 8.5 cont.

Accounting Entries

Particulars	Debit Rs.	Credit Rs.
Cash A/c.	38,500	
Rent Income A/c.		38,500
(Rent received in cash)		
Rent Income A/c.	6,000	
Rent Receivable A/c.		6,000
(Opening balance rent due transferred)		
Rent Receivable A/c.	7,000	
Rent Income A/c.		7,000
(Rent of current year is still due.)		
Rent Income A/c.	39,500	
Profit & Loss A/c.		39,500
(Closing entry for rent income - Closed into Income Statement)		

Important Tips To Remember - ITTR

One Account Method

1. Separate ledger account for income is not maintained
2. Balancing figure is closed to Income Statement
3. Closing balance is presented in Balance Sheet

Important Tips To Remember - ITTR

Two Account Method

1. Opening balance b/f and Closing balance c/f appears in receivable account
2. Income account is closed into Income Statement

Accrual Accounting

Advance Income
Unearned Income

One Account Method for Income

Only one ledger account is prepared for measuring income and for its reciprocal liability

Practice 8.6

Rent is received quarterly **in advance**
Reporting Period is 12 months (**Jan 1, 20X9 to Dec 31, 20X9**)

Receipt Date	Receipt Period	Amount (Rs.)
Nov. 1, 20X8	Nov X8, Dec X8, Jan X9	9,000
Feb. 1, 20X9	Feb X9, Mar X9, Apr X9	9,500
May 1, 20X9	May X9, June X9, Jul X9	10,000
Aug. 1, 20X9	Aug X9, Sep X9, Oct X9	10,000
Nov. 1, 20X9	Nov X9, Dec X9, Jan Y0	10,500

Answer - Practice 8.6 cont.

Cash received during the year	(W-3) – 1st Jan 20X9 to 31st Dec 20X9	Rs. 40,000
Add: Opening Advance	(W-1) – Jan 20X9	3,000
Less: Closing Advance	(W-2) – Jan 20Y0	<u>(3,500)</u>
Income for the year		<u>39,500</u>

<u>W-1:</u>	Opening Advance	=	$9,000 \times \frac{1}{3} = 3,000$
<u>W-2:</u>	Closing Advance	=	$10,500 \times \frac{1}{3} = 3,500$
<u>W-3:</u>	Cash Received	=	$9,500 + 10,000 + 10,000 + 10,500 = 40,000$

Answer - Practice 8.6 cont.

One Account Method:

	Unearned (Advance) Rent A/c.		
	Rs.		Rs.
Profit & Loss (balancing figure)	39,500	Opening advance rent b/f	3,000
Closing Advance rent c/f	3,500	Cash Received	40,000
	<u>43,000</u>		<u>43,000</u>

Particulars	Debit Rs.	Credit Rs.
Cash A/c.	40,000	
Unearned (Advance) Rent A/c. (Rent received in cash)		40,000
Unearned (Advance) Rent A/c. Profit & Loss A/c. (Closing entry for rent income – Closed into Income Statement)	39,500	39,500

Two Account Method for Incomes

Two ledger accounts are prepared for measuring income and for its reciprocal liability

Practice 8.6 cont.

Rent is received quarterly **in advance**

Reporting Period is 12 months (**Jan 1, 20X9 to Dec 31, 20X9**)

Receipt Date	Receipt Period	Amount (Rs.)
Nov. 1, 20X8	Nov X8, Dec X8, Jan X9	9,000
Feb. 1, 20X9	Feb X9, Mar X9, Apr X9	9,500
May 1, 20X9	May X9, June X9, Jul X9	10,000
Aug. 1, 20X9	Aug X9, Sep X9, Oct X9	10,000
Nov. 1, 20X9	Nov X9, Dec X9, Jan Y0	10,500

Answer - Practice 8.6 cont.

			Rs.
	Cash received during the year	(W-3) – 1st Jan 20X9 to 31st Dec 20X9	40,000
	Add: Opening Advance	(W-1) – Jan 20X9	3,000
	Less: Closing Advance	(W-2) – Jan 20Y0	<u>(3,500)</u>
	Income for the year		<u>39,500</u>
W-1:	Opening Advance	$= 9,000 \times \frac{1}{3} = 3,000$	
W-2:	Closing Advance	$= 10,500 \times \frac{1}{3} = 3,500$	
W-3:	Cash Received	$= 9,500 + 10,000 + 10,000 + 10,500 = 40,000$	

Answer - Practice 8.6 cont.

Two Account Method			
		Advance Rent A/c.	
		Rs	Rs.
Rent Income A/c	3,000	Balance b/f	3,000
Balance c/f	3,500	Rent Income A/c	3,500
	6,500		6,500
		Rent Income A/c.	
		Rs	Rs.
Advance Rent Closing	3,500	Advance Rent Opening	3,000
Profit & Loss (B)	39,500	Cash Received	40,000
	43,000		43,000

Answer - Practice 8.6 cont.

Accounting Entries

Particulars	Debit Rs.	Credit Rs.
Cash A/c.	40,000	
Rent Income A/c. (Rent income received in cash)		40,000
Advance Rent A/c.	3,000	
Rent Income A/c. (Opening balance of advance rent transferred)		3,000
Rent Income A/c.	3,500	
Advance Rent A/c. (Rent received in advance transferred from rent income)		3,500
Rent Income A/c.	39,500	
Profit & Loss A/c. (Closing entry for rent income)		39,500

Important Tips To Remember - ITTR

One Account Method

1. Separate ledger account for income is not maintained
2. Balancing figure is closed to Income Statement
3. Closing balance is presented in Balance Sheet

Important Tips To Remember - ITTR

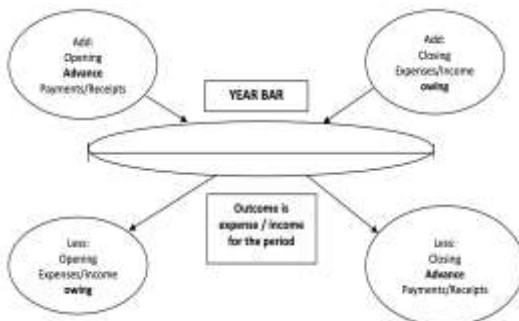
Two Account Method

1. Opening balance b/f and Closing balance c/f appears in Advance Rent account.
2. Income account is closed into Income Statement

Accrual Accounting

Diagrammatic Understanding of Accrual Concept

Diagrammatic Presentation



Practice 8.7

YEAR 1

- Yasin sets up a business on 1st January year 1 with 31st December as end of reporting period
- He acquires a telephone connection on 1st February and agrees to pay bill quarterly (3 months) in arrear
- Year 1 invoices are paid as follows:
 - 3 months ending 30th April year 1 Rs.5,000
 - 3 months ending 31st July year 1 Rs.7,500
 - 3 months ending 31st October year 1 Rs.8,500
- The invoice for 31st January year 2 Rs.9,000

Practice 8.7



Rs.9,000 will be paid in next year out of which Rs.6,000 relates to the current reporting period and is accrued/due on reporting date 31st Dec Year 1.

Practice 8.7 cont.

YEAR 2

- Year 2 invoices are paid as follows:
 - 3 months ending 31st January year 2 Rs.9,000
 - 3 months ending 30th April year 2 Rs.9,500
 - 3 months ending 31st July year 2 Rs.10,000
 - 3 months ending 31st October year 2 Rs.10,000
- The invoice for 31st January year 3 Rs.10,500

Practice 8.7 cont.



Rs.10,500 will be paid in next year out of which Rs.7,000 relates to the current reporting period and is accrued/due on reporting date 31st Dec Year 2.

Answer – Practice 8.7 cont.

One account method

YEAR 1

Telephone Payable Account					
		Rs.			Rs.
Apr 30	Bank	5,000	Dec 31	Profit & Loss (balancing figure)	27,000
July 31	Bank	7,500			
Oct 30	Bank	8,500			
Dec 31	Closing due	6,000			
		27,000	27,000		

Answer – Practice 8.7 cont.

One account method

YEAR 2

Telephone Payable Account				
		Rs.		Rs.
Jan 31	Bank	9,000	Opening due	6,000
Apr 30	Bank	9,500	Dec 31	Profit & Loss
July 31	Bank	10,000		(Balancing figure)
Oct 30	Bank	10,000		39,500
Dec 31	Closing due	7,000		
		<u>45,500</u>		<u>45,500</u>

Answer – Practice 8.7 cont.

Two account method

YEAR 1

Telephone Expenses Account				
		Rs.		Rs.
Apr 30	Bank	5,000	Dec 31	Profit & Loss
July 31	Bank	7,500		27,000
Oct 30	Bank	8,500		(Balancing figure)
Dec 31	Payable a/c	6,000		
		<u>27,000</u>		<u>27,000</u>

Telephone Payable Account				
		Rs.		Rs.
Dec 31	Bal c/f	6,000	Dec 31	Telephone expenses
		<u>6,000</u>		6,000
				<u>6,000</u>

Answer – Practice 8.7 cont.

Two account method

YEAR 2

Telephone Expenses Account				
		Rs.		Rs.
Jan 31	Bank	9,000	Jan 1	Telephone payable
Apr 30	Bank	9,500		6,000
Jul 31	Bank	10,000	Dec 31	Reversal of the accrual
Oct 30	Bank	10,000		
Dec 31	Tel payable	7,000		39,500
		<u>45,500</u>		(Balancing figure)
				Expenses year 2

Telephone Payable Account				
		Rs.		Rs.
Telephone exp.	6,000	Balance b/f	6,000	
Balance c/f	7,000	Telephone exp.	7,000	
	<u>13,000</u>		<u>13,000</u>	Liability Year 2

Important Tips To Remember - ITTR

1. Cash receipt or payment happens during the reporting period/year (DTY)
2. Income or Expense is measured for the reporting period/year (FTY)

Accrual Accounting

Adjusting Entries
Closing Entries

Adjusting Entries

For Opening Expense Due

Dr Expense payable A/c.
Cr Expense a/c

For Closing Expense Due

Dr Expense a/c
Cr Expense payable a/c

For Opening Advance Payment

Dr Expense a/c
Cr Advance payment a/c

For Closing Advance payment

Dr Advance payment a/c
Cr Expense a/c

For Opening Income Due

Dr Income a/c
Cr Income receivable a/c

For Closing Income Due

Dr Income receivable a/c
Cr Income a/c

For Opening Advance Receipt

Dr Unearned income a/c
Cr Income a/c

For Closing Advance Receipt

Dr Income a/c
Cr Unearned income a/c

Closing Entries

For expenses

Dr Income Statement
Cr Expense (accounting head)

For incomes

Dr Income (accounting head)
Cr Income Statement

Important Tips To Remember - ITTR

1. Adjusting entries are passed on reporting (closing) date in order to complete the Income/Expense account with respect to the accruals and prepayments.
2. Closing entries are passed on reporting (closing) date, in order to close final balance of Income/Expense account into the Income Statement for the reporting period to which they relate.